

3.1 External and internal sources of finance	Understanding the main types of internal and external sources of finance for business organisations and the factors which influence the decision to use a particular source of finance, in a given situation. Understanding the main benefits, drawbacks and application of short-term start-up capital, including own capital, overdraft, bank loan, friends/family, government incentives for new businesses, grants and/or loans. Understanding the main benefits, drawbacks and application of long-term capital, including reinvestment of profits/reserves to finance expansion, share issue in private and public limited companies and bank loans.
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